NVIDIA Corporation

NVDA NASDAQ

Buy	$227.80 ▲ 0.65%	12M Price Target	52-Week Range	Market Cap
		$265.00	$164.27 – $243.37	$5.50T

NVDA: Consolidating Near Highs, Policy Winds Still Favorable

WHAT HAPPENED

- Quiet tape — NVDA ticked up 0.65% to $227.80 after four straight down days from the $237 high last week. No news, no filings, just a market digesting the ~4% pullback. Volume is light (57M vs. 80M+ avg), which tells me sellers are exhausted rather than buyers piling in — a pause, not a reversal.
- The options flow is loud though: someone bought ~98K calls at the $227.50 strike (16x the existing open interest). That's a big directional bet that NVDA grinds higher into month-end — "open interest" just means how many of those contracts existed before, so 16x means this is fresh conviction, not rolling an old position.

WHY IT MATTERS

Here's what the chart is telling me: NVDA is sitting at 80% of its 52-week range, which usually means one of two things — either it's basing before another leg up, or it's distributing (big holders quietly selling to retail). The options flow says the former, insider selling says watch out. But insider sales at this scale ($7M from the General Counsel) are almost always scheduled 10b5-1 sales, not signal — execs at mega-caps sell routinely for diversification. The bigger picture: with Energy and Comm Services leading today (+1.67% and +1.09%), that's the "AI powers everything" trade still intact — energy because data centers consume absurd amounts of power, comm services because Meta/Google are the ones writing checks to Jensen. As long as that two-step holds, NVDA pullbacks are buyable.

POLICY & POLITICAL WATCH

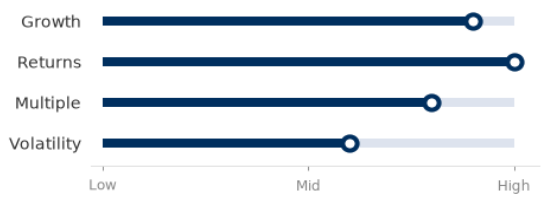
The big one right now: the Trump administration's AI Action Plan is actively steering federal procurement toward American AI chips, which is a direct subsidy for NVDA's government and sovereign-AI business. Watch for updates on the H20 chip and successor export licenses to China — the administration has oscillated between "sell them downgraded chips to keep them hooked on our stack" and "block everything" — the former adds $10-15B/yr in revenue, the latter is a headwind already priced in. Also keep an eye on the FTC/DOJ: there's ongoing antitrust scrutiny of NVDA's CUDA software ecosystem lock-in, but with the current administration prioritizing US AI dominance over trust-busting, that's a slow-burn risk, not an imminent one.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$227.80**
12M Price Target	**$265.00**
Upside / (Downside)	**+16.3%**
Market Cap	**$5.50T**
FY2027E Revenue	**$235M**
FY2028E Revenue	**$295M**
FY2027E EPS	**$5.85**
FY2028E EPS	**$7.40**
Fwd P/E	**38.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$245.00**	$232.00	**$215.00**
6 Months	**$285.00**	$255.00	**$200.00**
1 Year	**$320.00**	$265.00	**$180.00**
2 Years	**$400.00**	$310.00	**$160.00**
5 Years	**$600.00**	$420.00	**$140.00**
10 Years	**$900.00**	$550.00	**$120.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5.27% over 5 days) — this is the AI power trade. Data centers are projected to consume 9% of US electricity by 2030, and the Trump admin is fast-tracking nuclear and natural gas permits to feed them. Comm Services also strong because Meta/Google are both NVDA's customers AND beneficiaries of AI monetization.

COOLING OFF: Consumer Discretionary and Staples look tired — classic late-cycle behavior where the consumer is squeezed but AI capex keeps rolling.

ROTATION WATCH: Money is rotating from pure consumer plays into "AI-adjacent" sectors (energy, utilities, industrials). That's a direct tailwind for NVDA because it signals institutional conviction that the AI buildout is multi-year, not a 2024-2025 bubble.

RELATED PLAY: If you believe NVDA's story, the second-derivative plays are the power producers (Vistra, Constellation), the HBM memory makers (Micron, SK Hynix), and data center REITs (Equinix, Digital Realty). They all win when NVDA wins and typically with less single-stock risk.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI chip deals with hyperscalers — the "if you don't want to buy NVDA, buy the company helping you build an alternative" trade.
- ORCL (Oracle): Massive AI cloud backlog disclosure earlier this year made it a stealth AI winner — they're one of NVDA's biggest customers.

NVDA CONTEXT: NVDA is slightly lagging the broader AI complex this week after leading all year. That's healthy rotation, not weakness — when the leader cools and the followers run, it usually sets up the leader for another leg. Watch for NVDA to reclaim $235 as the signal that the pause is over.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $215-225 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth decelerates below 20% YoY or China export rules tighten materially

Hedging: Buy protective puts or pair with short position in a richer-multiple AI software name

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